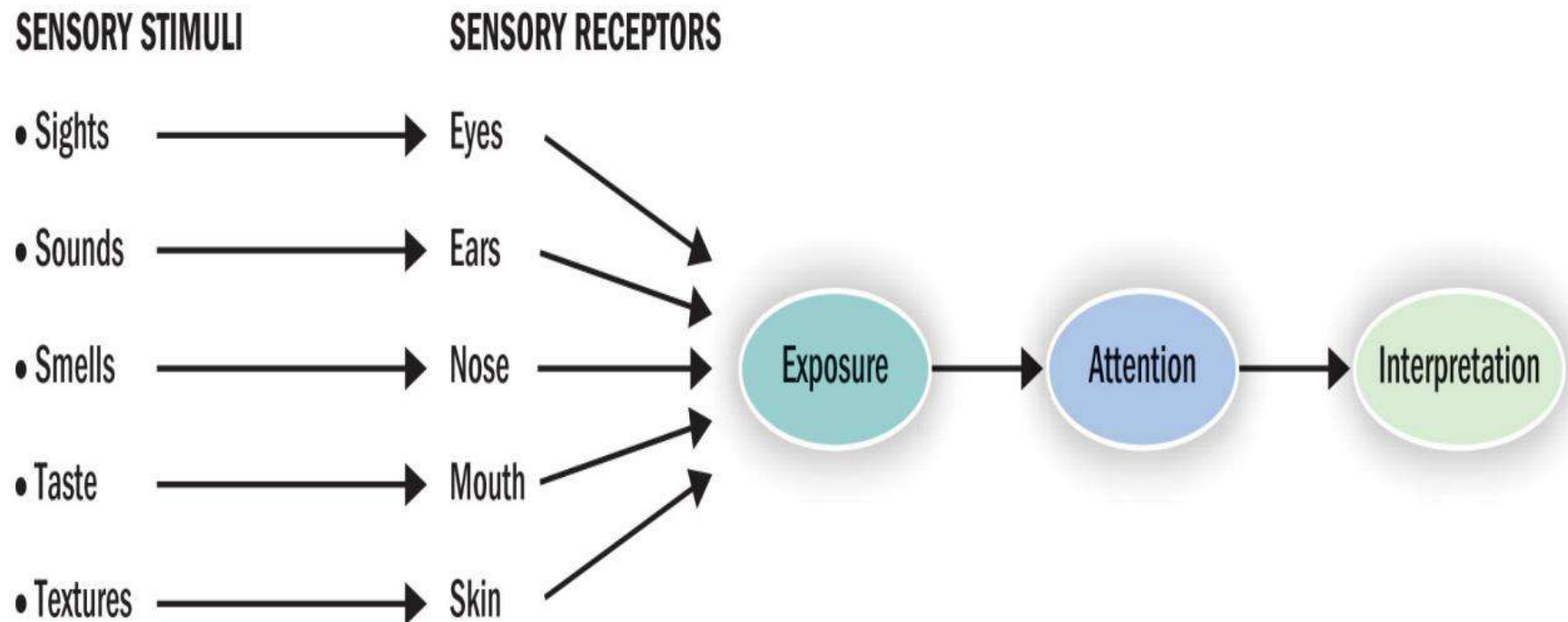


Perception and Learning



- Perception
- Process by which sensations are selected, organized, and interpreted
- Adding meaning to raw sensations



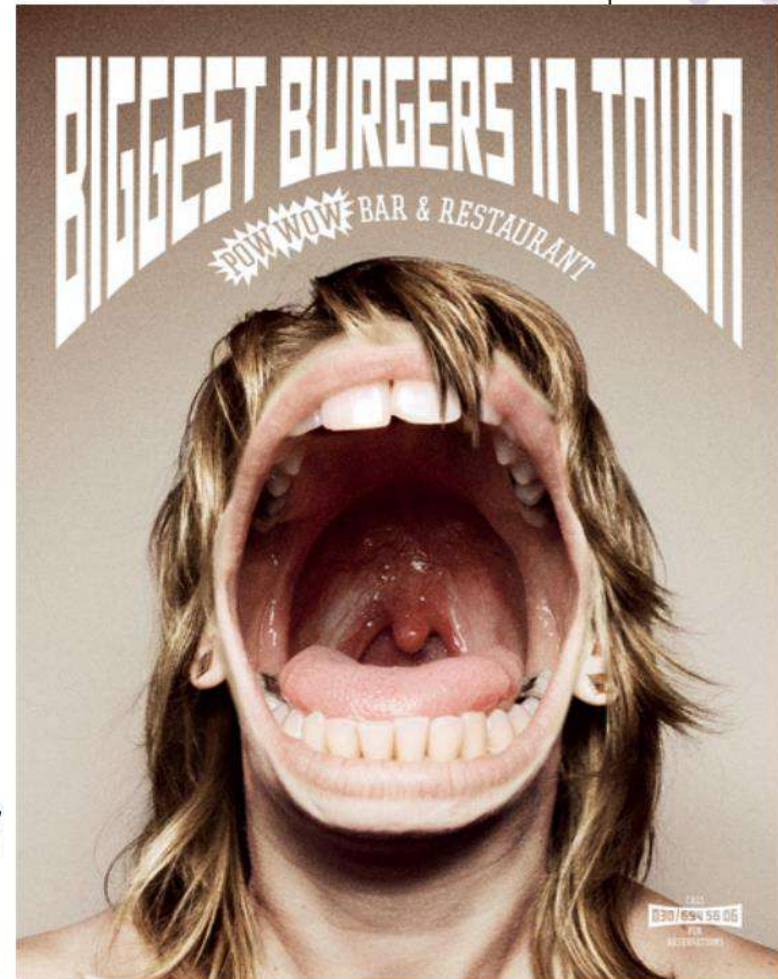
Elements of Perception



- Sensation
- Absolute threshold
- Differential threshold
- Subliminal threshold

● Sensation

- Immediate response of our sensory receptors...
 - ...eyes, ears, nose, mouth, fingers...
- ...to basic stimuli...
 - ...such as light, colour, sound, odour, and texture
 - ...advertisements, brand names, commercials, and packages
- ...depends on the sensitivity of the individual



The Absolute Threshold



- The lowest level at which an individual can experience a sensation.
- The point which differentiates between “something” and “nothing”.
- Example: Absolute threshold of driver driving on highway to notice billboard.
- Adaptation: Getting ‘used to’ certain sensation.

Attention



- The extent to which processing activity is devoted to a particular stimulus
 - Competition for our attention
 - 3,500 ad info pieces per day
 - Multitasking
 - Marketers need to break through the clutter
 - Microsoft's butterfly decals on sidewalks
 - 3D logos on cricket grounds



The Differential Threshold



- The minimal detectable difference between two similar stimuli (just noticeable difference).
- It's not at all the absolute difference.
- It's an amount relative to the intensity of the first stimulus.
- The stronger the initial stimulus, the greater the additional intensity needed for second stimulus to be perceived as differentiated.

Marketing Applications of the JND



- Need to determine the relevant JND for the products so that
 - negative changes are not readily discernible to the public.
 - product improvements are quite visible to consumers.





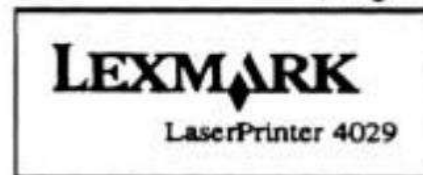
Stage 1



Stage 2



Stage 3



Stage 4

Gradual Changes in Brand Name



Subliminal Perception

Perception of very weak or
rapid stimuli received below
the level of conscious
awareness

Perceptual Selection



- Stimulus Selection Factors
 - Weber's Law
 - Differences in size, colour, position, and novelty
 - Interpretation: assigned meaning to stimuli
 - Schema leads to stimulus evaluation



Weber's Law

A theory concerning the perceived differentiation between similar stimuli of varying intensities (i.e. the stronger the initial stimulus, the greater the additional intensity needed for the second stimulus to be perceived as different).



Perceptual Selection



- Depends on two major factors
 - Consumers' previous experience (expectations)
 - Consumers' motives

Some Marketing Variables Influencing Consumer Perception



- Nature of the product
- Physical attributes of the product
- Package design
- Brand name
- Advertisements and commercials
- Position of an ad



Concepts Concerning Selective Perception



- Selective exposure
- Selective attention
- Perceptual defense
- Perceptual blocking

Stimulus Organization

- Stimulus interpretation is associated with other related events, sensations, or images
- Gestalt: “The whole is greater than the sum of its parts”.
 - **The Closure Principle**—People tend to perceive an incomplete picture as complete.
 - **The Principle of Similarity**—Groups objects share similar characteristics.
 - **The Figure–Ground Principle**—One part of the stimulus will dominate (the figure/background).

Gestalt Laws of Grouping

- The primary purpose of the visual system is the recognition of objects from basic visual elements.
- The objects are seen as more than a sum of the parts, and the critical problem facing the visual system is how to group the elements to form objects.

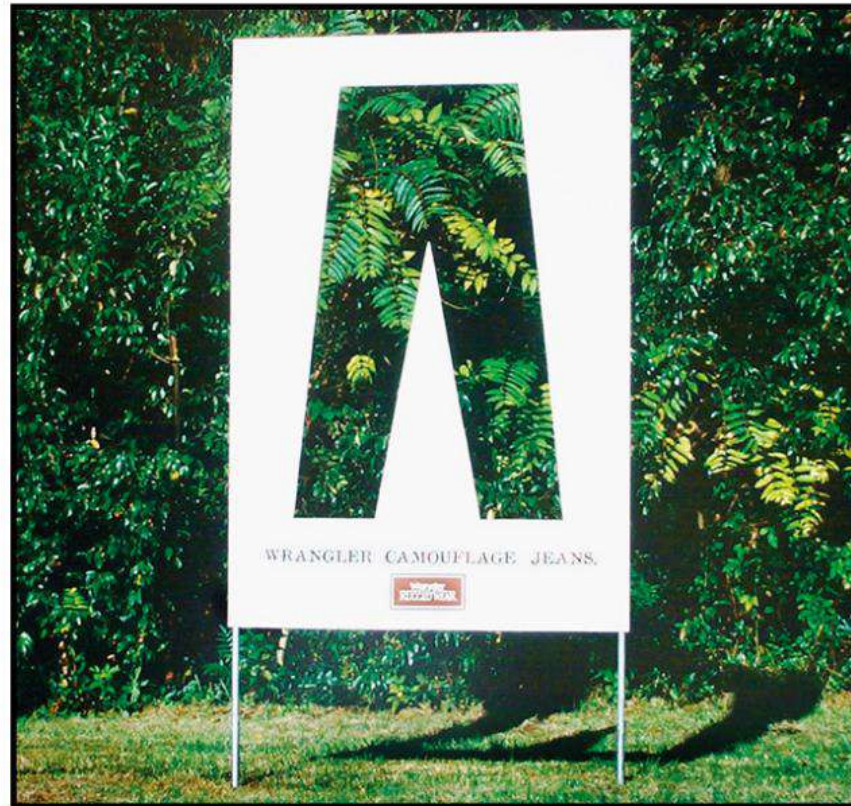
Figuring out what the objects are

The Gestalt principles help us to understand how we figure out what the objects are, and how to interpret them

However, they do not explain how we figure out what an object is once we realize it is an object.



The Figure-Ground Principle



- This billboard for *Wrangler* jeans makes creative use of the *figure-ground principle*.

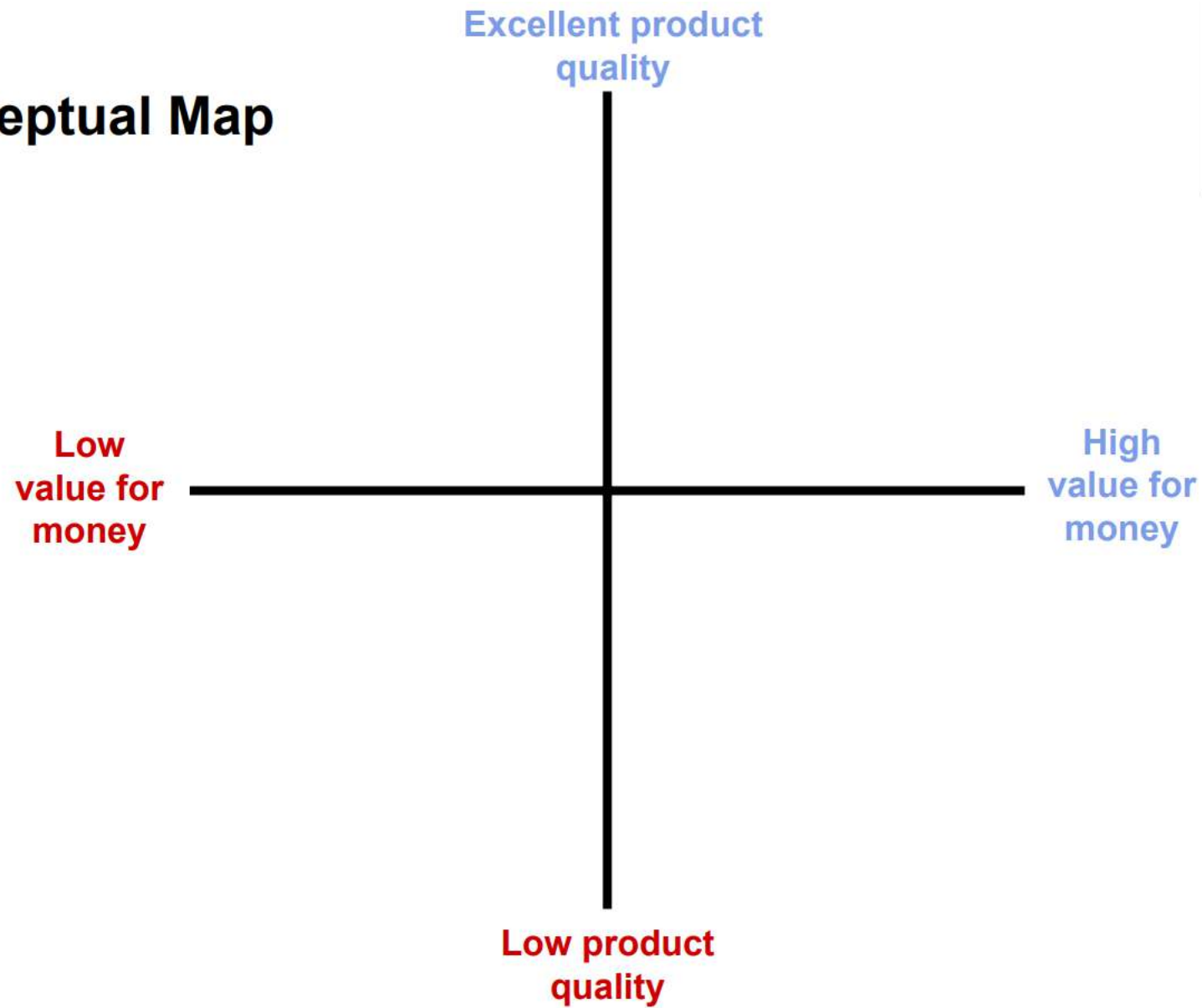
Perceptual Positioning

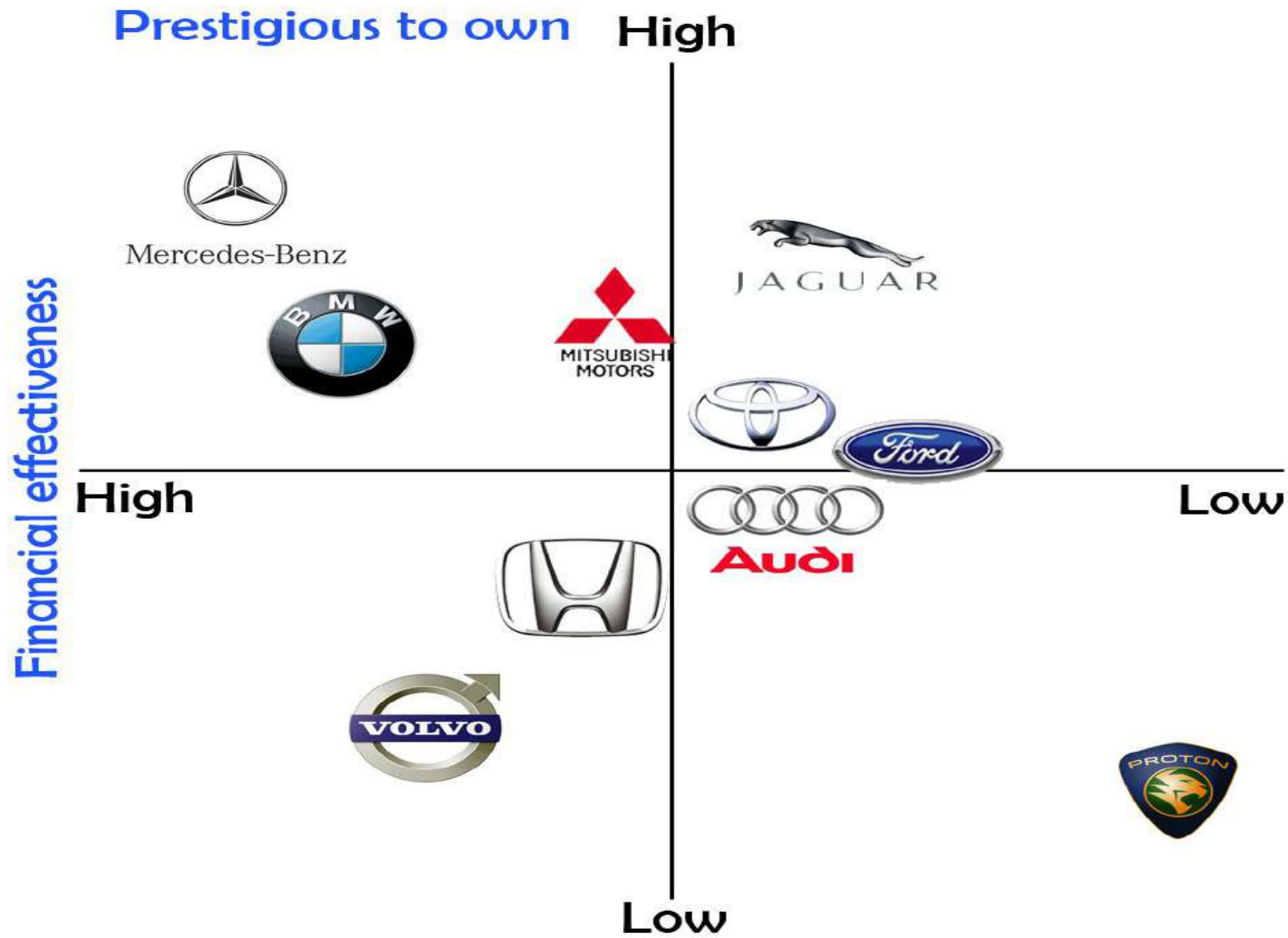


- Brand perceptions
=functional attributes + symbolic attributes
- Perceptual map
 - Company's own strengths and weaknesses in comparison with competitors



Perceptual Map





Types of Perceived Risk

- **Functional risk:** The risk that the product will not perform as expected.

Will the cell phone I bought work for the given warranty period?

- **Physical risk:** The risk to self and others that the product may pose .

Will the cell phone damage my health? Is it safe to use?

Types of Perceived Risk

- **Financial risk:** The risk that the product will not be worth its price.
Will the price of mobile/laptop drop after I buy it?
- **Social risk:** The risk that a poor product choice may result in some form of social embarrassment.
Will my mobile look like an outdated model?

Types of Perceived Risk

- **Psychological risk:** The Risk that a poor product choice will bruise the consumer's ego.

After buying this product, will my peer group members laugh that it is a wrong choice?

- **Time risk:** The risk that the time spent in product search may be wasted if the product does not perform as expected.

I have spent so much time in buying a new camera/laptop. Was it worth or a waste of time?

How Customers Handle Risk

- Seek information,
word of mouth, newspapers
- Buy known brands/become loyal,
e.g. buy *Annapurna* Atta.
- Select by Company/Brand image,
e.g. buy *Sony* TV / *Nokia* Cell phones.

How Customers Handle Risk (cont.)

- Rely on Store image, e.g. buying from known shops.
- Buy the most expensive model.
- Seek reassurance
(money-back guarantees, pre-purchase trial, warranty period).

Application of the Concept

- Find out the nature of risk customers perceive before purchasing new products.
- Remove the nature of anxiety of customers.

Consumer Learning

Dissonance and Experience

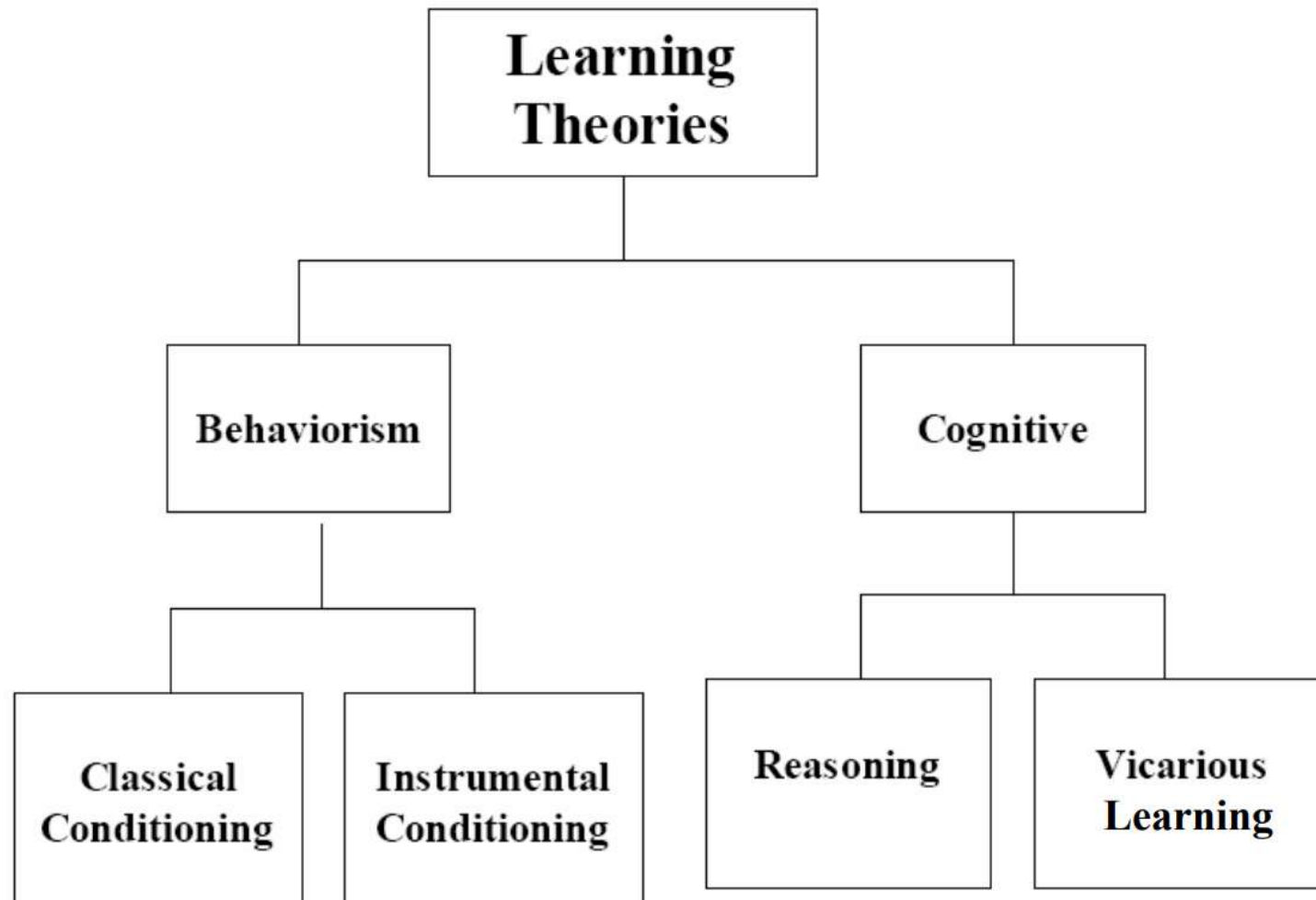
Consumer Learning

- It is the cognitive process of acquiring skill and knowledge; learning is the acquisition and development of memories and behaviours, including skills, knowledge, understanding, values, and wisdom.

Importance of Learning

- Marketers must teach consumers:
 - ✓ where to buy
 - ✓ by whom and for whom the purchase is to be done
 - ✓ how to use, feel and perceive the product
 - ✓ how to maintain the product
 - ✓ how to dispose of products

Learning Taxonomy



Learning Theories

Behavioural Theories

Theories based on the premise that learning takes place as a result of observable responses to external stimuli. Also known as *stimulus response theory*.

Cognitive Theories

A theory of learning based on mental information processing, often in response to problem solving.

Learning Processes

Intentional

Learning acquired as a result of a careful search for information.

Incidental

Learning acquired by accident or without much effort.

Elements of Learning Theories

1. Motivation
2. Cues
3. Response
4. Reinforcement

- Stimulus
- Drive
- Response
- Reinforcement

Reinforcement

A positive or negative outcome that influences the likelihood that a specific behaviour will be repeated in the future in response to a particular cue or stimulus.

Stimulus Generalization

The **inability** to
perceive differences
between slightly
dissimilar stimuli.

Reinforcement

Positive Reinforcement

Positive outcomes that strengthen the likelihood of a specific response

Example: Ad showing beautiful hair as a reinforcement to buy shampoo

Negative Reinforcement

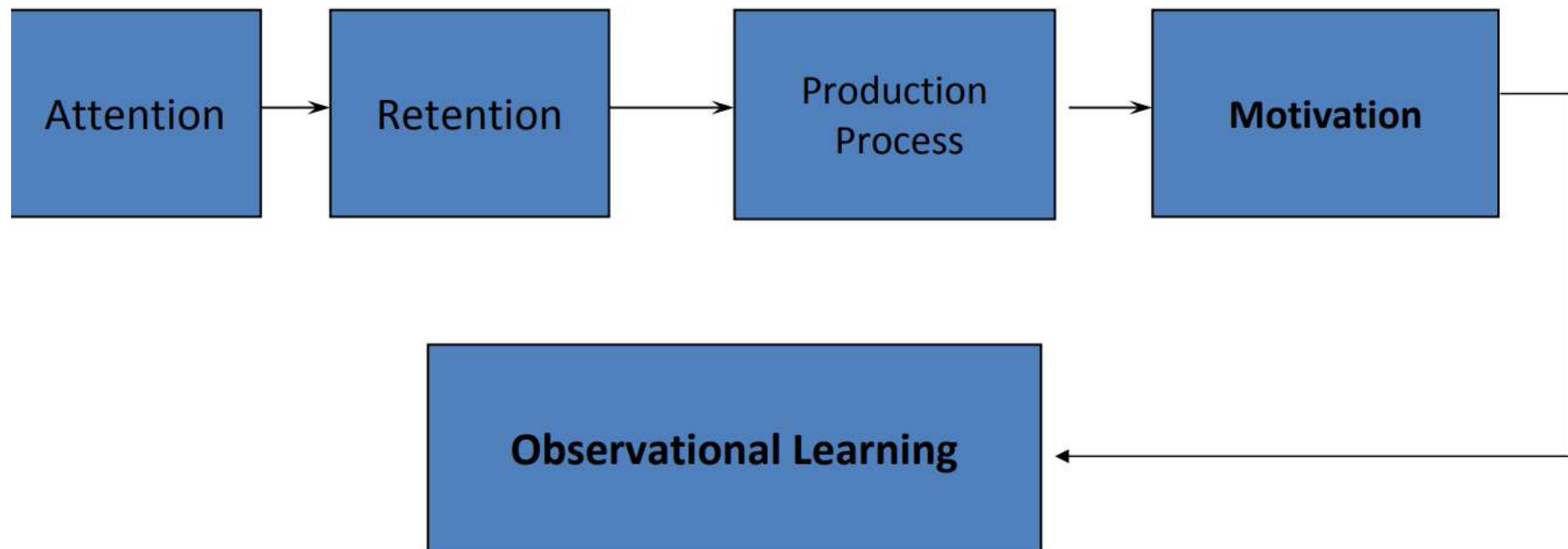
Unpleasant or negative outcomes that serve to encourage a specific behaviour

Example: Ad showing wrinkled skin as reinforcement to buy skin cream

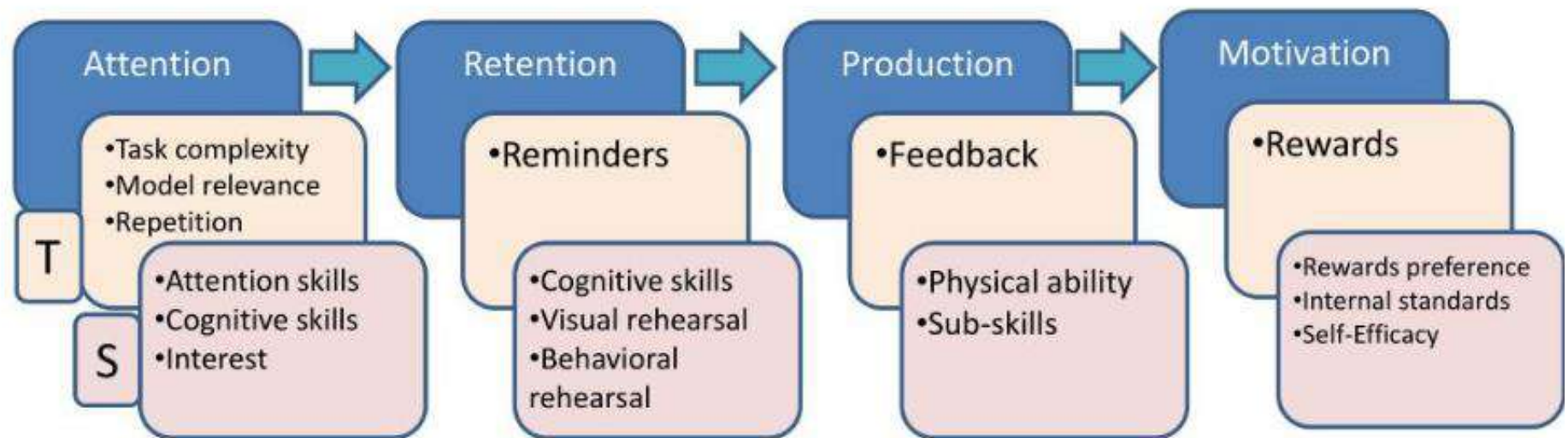
Observational Learning

A process by which **individuals observe the behaviour of others, and consequences of such behaviour**. Also known as **modelling or vicarious learning**.

Components Of Observational Learning



Observational Learning Process



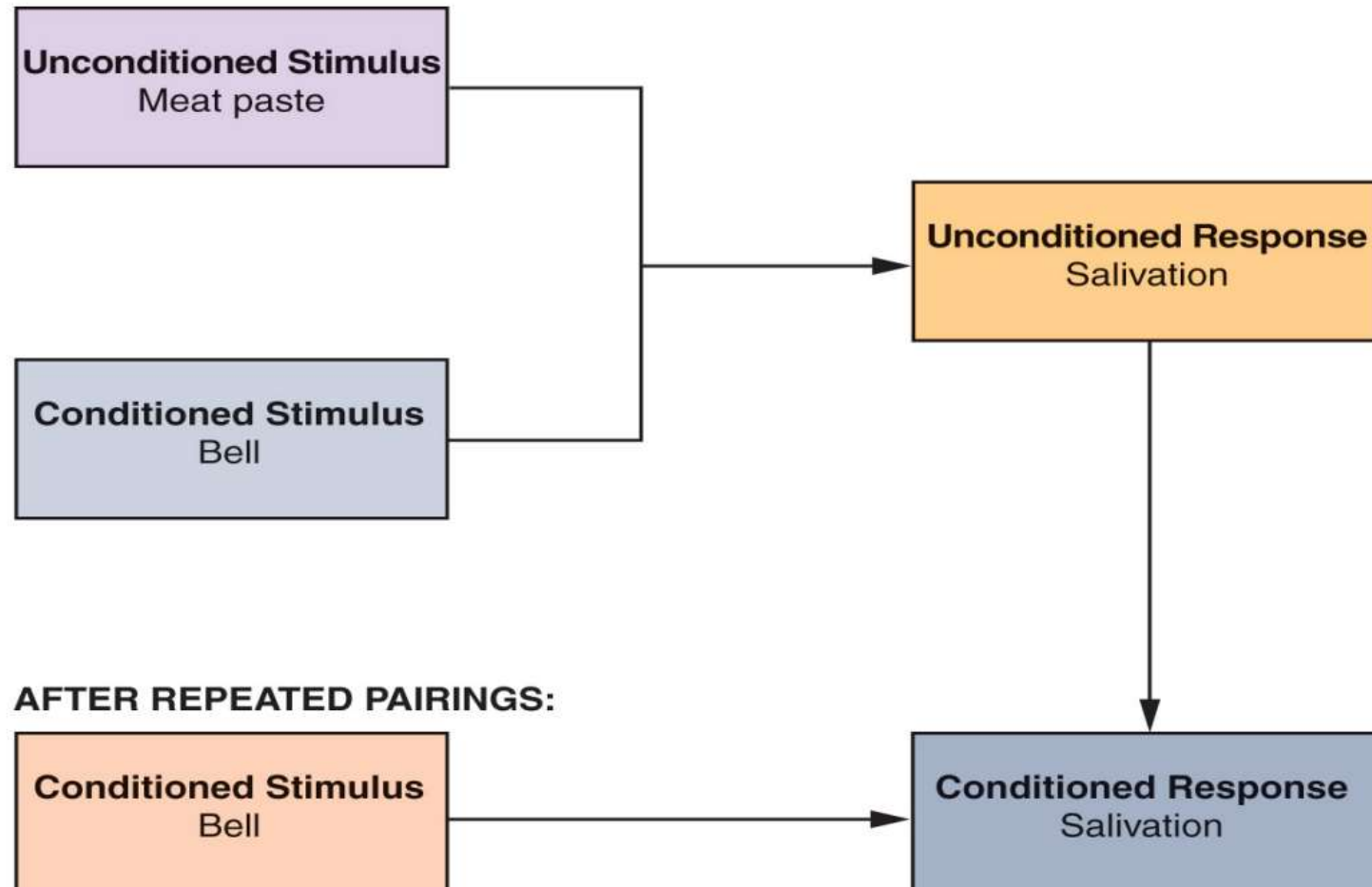
Cognitive Learning Theory

Holds that the kind of learning most characteristic of human beings is **problem solving, which enables individuals to gain some control over their environment.**

Classical Conditioning

A behavioural learning theory, according to which **a stimulus is paired with another stimulus that elicits a known response** which serves to produce **the same response when used alone.**

Models of Classical Conditioning



Instrumental (Operant) Conditioning

A behavioural **theory of learning based on trial-and-error process, with habits forced as the result of positive experiences (reinforcement) resulting from certain responses or behaviours.**

Operant Conditioning (Cont.)

is the process in which the **frequency of occurrence** of a bit of behaviour **is modified by** the **consequences of the behaviour**.

If **positively reinforced**, the likelihood of the behaviour being repeated **increases**.

If **punished**, the likelihood of the behaviour being repeated **decreases**.

Operant (or instrumental) conditioning (Cont.)

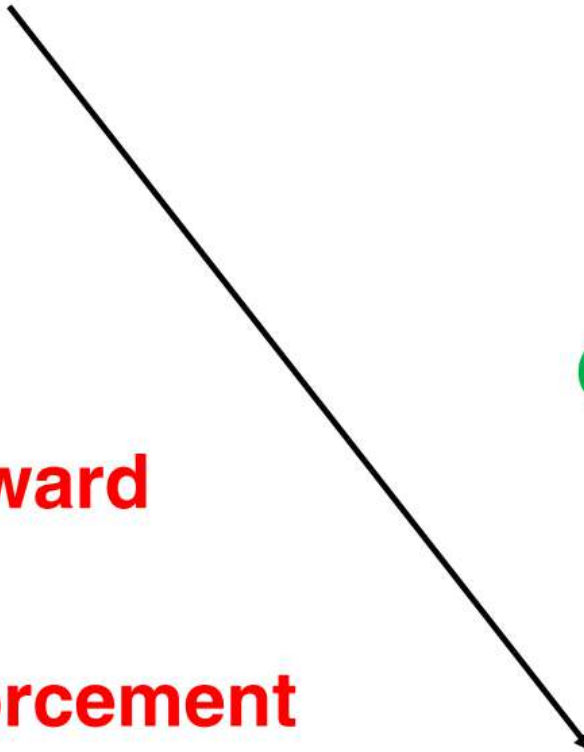
Stimulus

Response

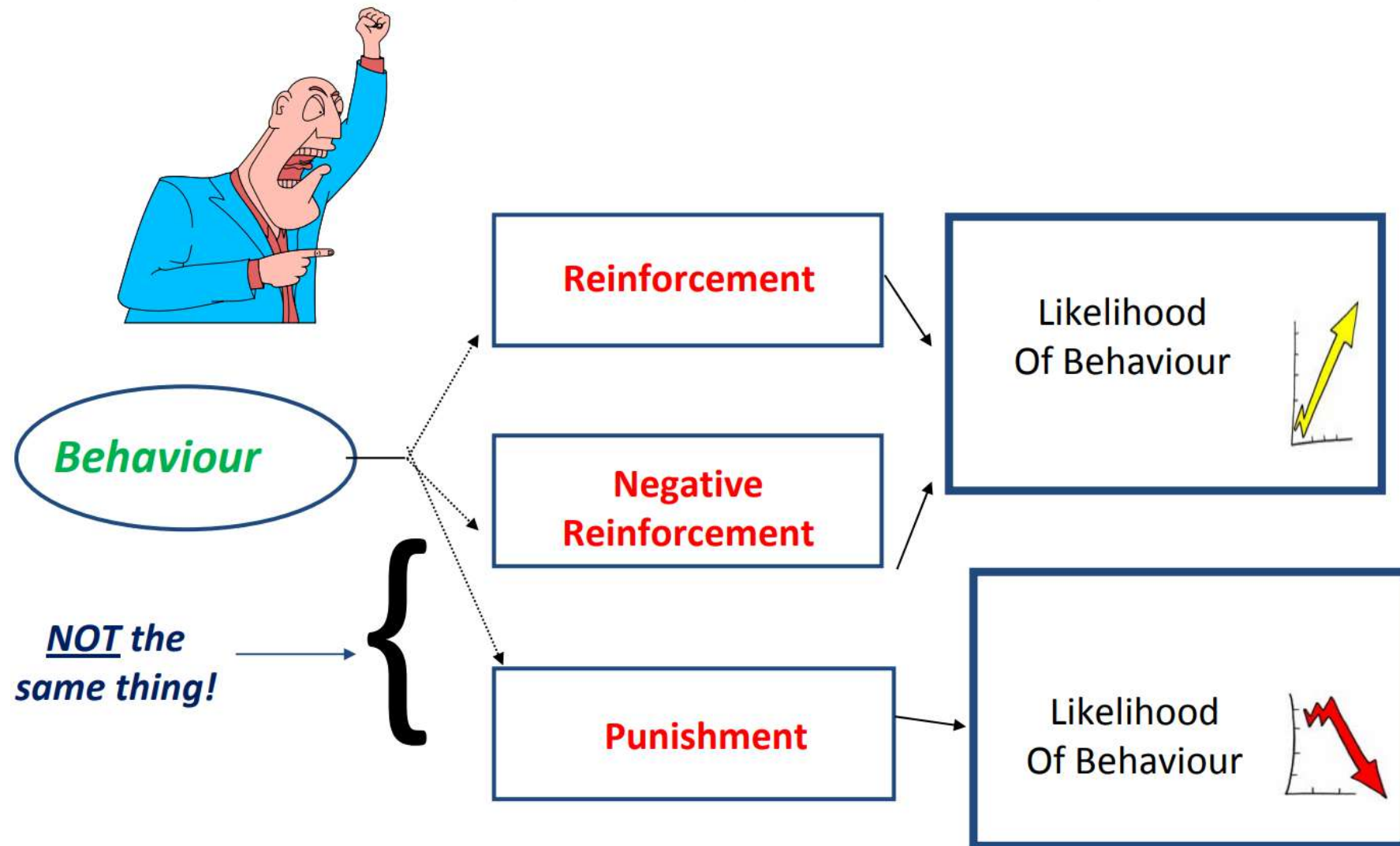
Reward

Reinforcement

**Can you explain
habit?**



Instrumental (Operant) Conditioning (Cont.)

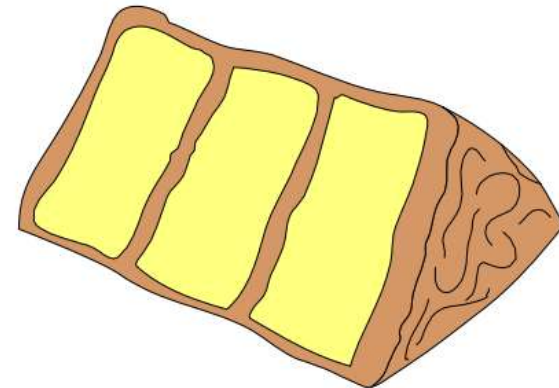


Reinforcement: An Example

You eat a cake (behaviour)

----> Delicious (reward)

----> more likely to eat more
cakes on other occasions

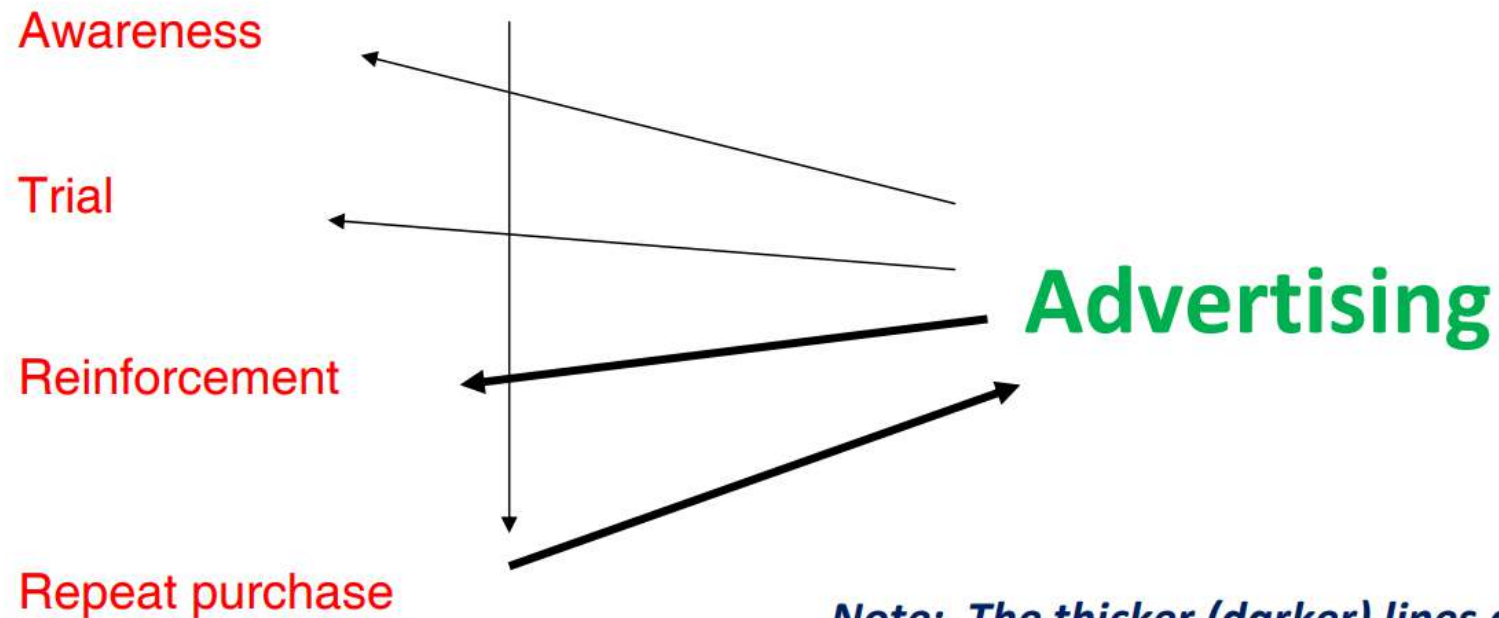


Extinction

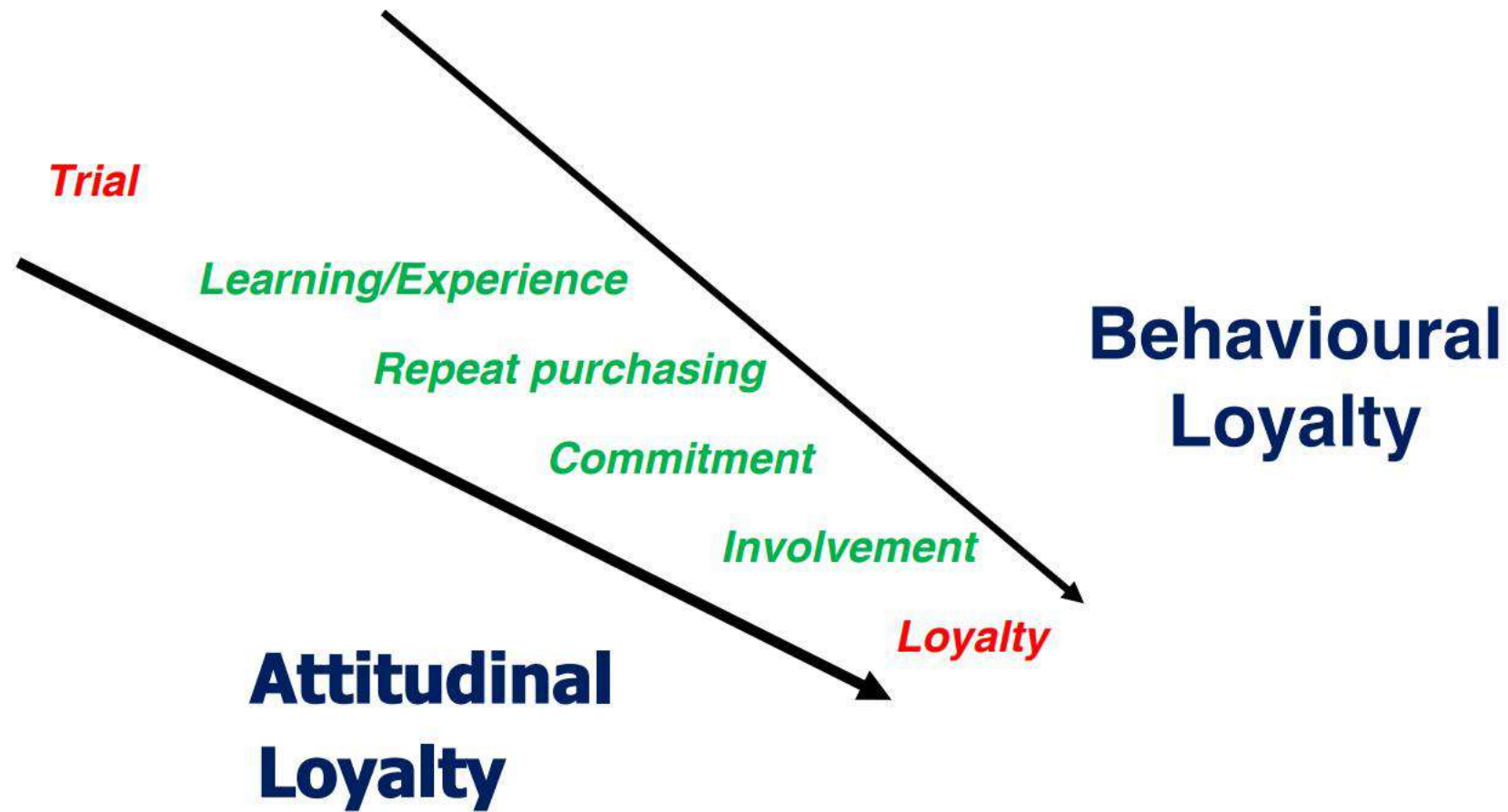
Behaviour which is not reinforced tends to become extinct gradually.



Ehrenberg *ATR* Model



Note: The thicker (darker) lines denote the major effects.



Brand Loyalty vs. Habit



- **Habit:** the consumer picks product without much thought, perhaps for convenience.
- **Loyalty:** the consumer actively seeks the product.

Brand Loyalty

Function of Three Groups of Influences

1. Consumer drivers
2. Brand drivers
3. Social drivers

Four types of loyalty

1. No loyalty
2. Covetous loyalty
3. Inertia loyalty
4. Premium loyalty

Gounaris and Stathakopoulos (2004) categorize loyalty into four types:

- **no loyalty** (no purchase and low emotional attachment to the brand),
- **covetous loyalty** (no purchase but low emotional attachment to the brand),
- **inertia loyalty** (purchase but low emotional attachment to the brand) and
- **premium loyalty** (purchase and high attachment

TRUE

"I'm here because I'm emotionally connected."

CULT

"I'm in for life. The brand reflects my values & identity."

INERTIA

"I'm here because it's too much trouble to go elsewhere."

MERCENARY

"I'm loyal because you pay me to be loyal."

Developing Brand Loyalty: Tricks and Traps

1. Product quality ---> satisfaction
2. Sales promotions
3. Stealing loyal consumers away from others
4. Price
 - value
 - exclusiveness

Retention

Information is stored in
long-term memory

Episodically: by the order
in which it is acquired

Semantically: according to
significant concepts

Total package of associations
is called a **schema**.

Role of Memory in Learning

Stages

1. Encode
2. Storage
3. Decode and retrieval

Recognition vs. Recall

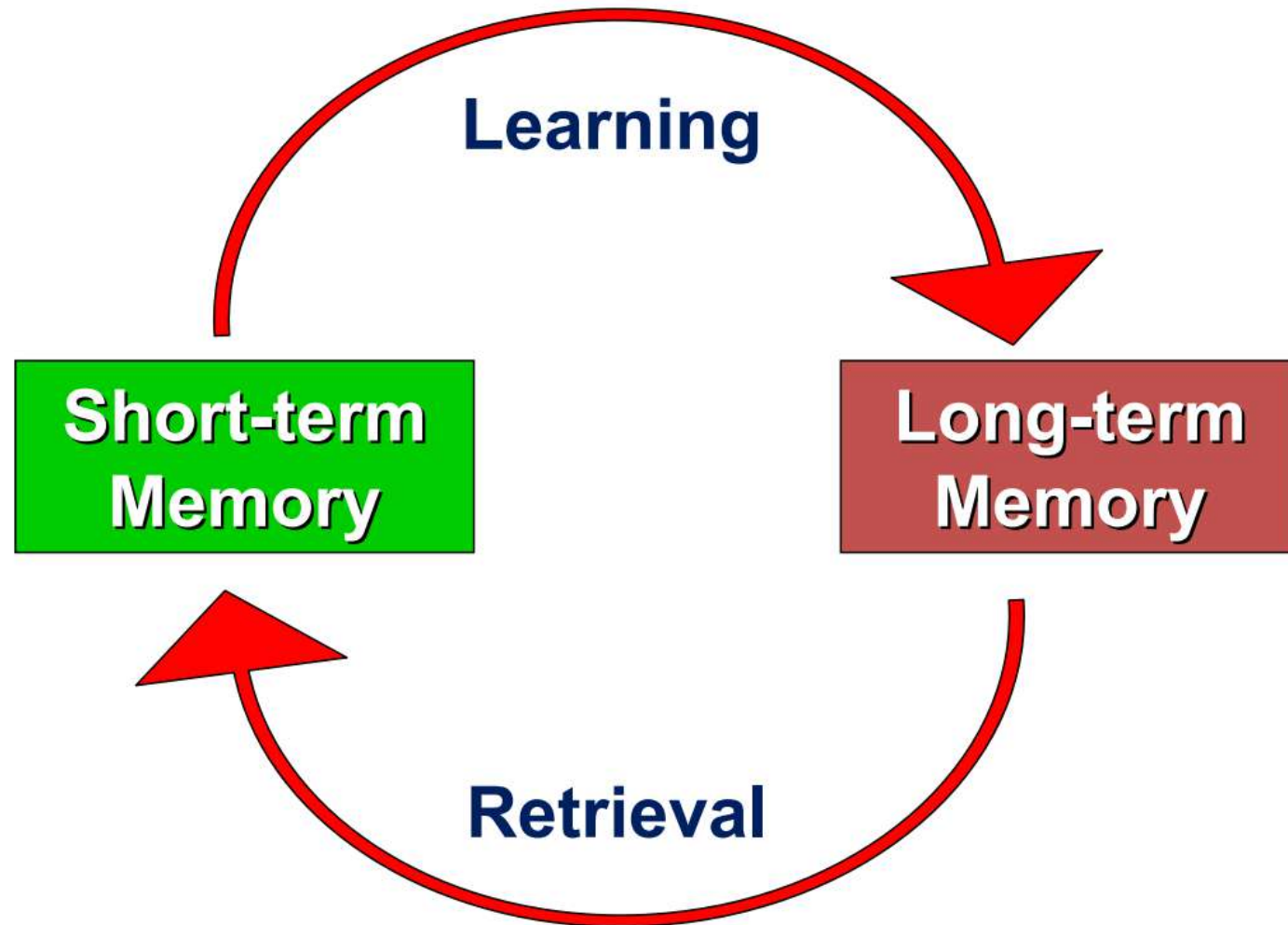
Recognition

Remembering with stimulus

Recall/Retrieve

Remembering without stimulus

The Cycle of Remembering



**The consumer
observes a positive
response by two
teens.**

a new acne treatment so effective

100% OF PEOPLE SAW
CLEARER SKIN

IN A CLINICAL STUDY EVERYONE SAW
A REDUCTION IN SIZE, REDNESS OR NUMBER OF PIMPLES
IN JUST ONE DAY



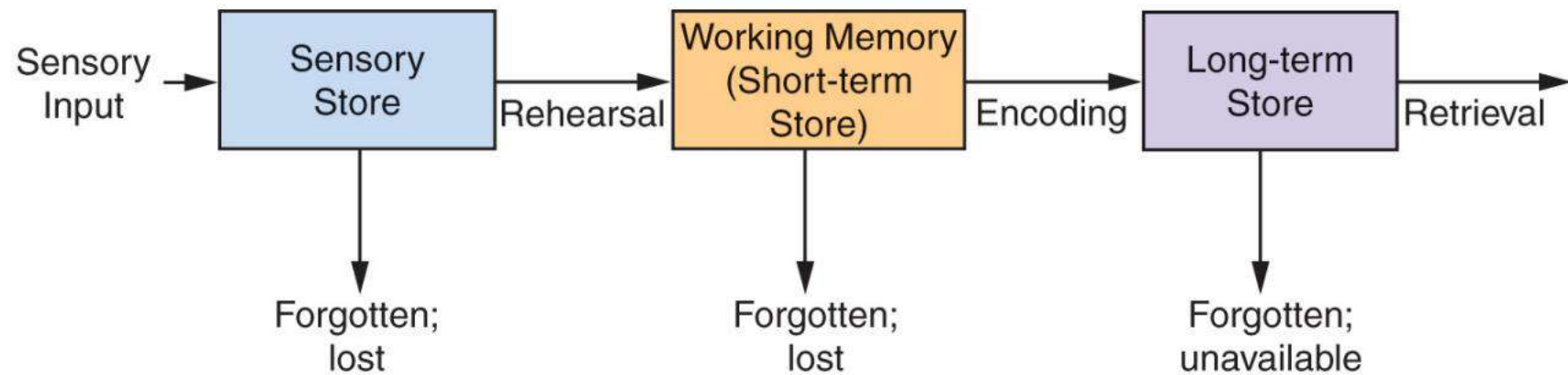
Clean & Clear
Acne Control

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Information Processing

- Relates to cognitive ability and the complexity of the information.
- Individuals differ in **imagery**—their ability to form mental images, which influences recall.

Information Processing and Memory Stores



Information Processing

- **Movement from short-term to long-term storage**

depends on:

- **Rehearsal**—cognitive practice
- **Encoding**—memory's associations or the way information is stored.

Experiential Marketing



Consumers Dissonance

Cognitive Dissonance

- Psychological discomfort caused by inconsistencies among a person's beliefs, attitudes, and actions.
- Varies in intensity based on importance of issue and degree of inconsistency.
- Induces a “drive state” to avoid or reduce dissonance by changing beliefs, attitudes, or behaviours and thereby restore consistency.

Why the Dissonance?



Causes of Dissonance

- Performance risk
- Physical risk (wear-out)
- High financial commitment
- High involvement level
- High social visibility
- Information overload

Is the Grass Greener on the Other Side?

- Dissonance—predominantly post-purchase behaviour
- Lack of confidence (doubts) about the correctness of a prior purchase decision and efforts to reconcile doubts



Reactions to Dissonance

- The Consumer eliminating or re-evaluating one of the cognitive elements, or his responsibility, or control over the act or decision.
- Information can be denied or distorted or forgotten in the service of dissonance reduction.
- Minimizing the importance of the issue or decision that led to the dissonant state.
- New cognitive elements can be added to support the decision.
- Potential Reactions
 - Return the product.
 - Seek confirmatory information.